Table 1.9: Single busted patterns versus proxy. The final table in this chapter shows how well busted patterns perform against non-busted ones.

Winner. Single busted patterns outperform their non-busted counterparts a good portion of the time. That's especially true for chart patterns in bull markets. They win more than 90% of the contests. Bear markets also win contests, but at a more sedate pace.

Performance. I compared the performance of single busted patterns with their proxy (P), the non-busted pattern. In most cases, the performance difference is quite wide.

For example, in bear markets after downward breakouts, single busted patterns with downward breakouts saw price rise an average of 40% above the top of the chart pattern. The non-busted patterns saw price climb just 28%, on average.

Occurrence. This line tells how often a single busted pattern happens (versus double or more than two busts). The higher the number, the easier it'll be to trade a busted pattern that wins big. That means you are more likely to trade a single busted pattern than a pattern that double or triple+ busts.

Bull markets with upward breakouts show fewer single busts (53%) than the others. I think that's because when the pattern busts, price will be heading lower and that's going against the bullish current. It invites a double bust.

The chapters that follow look at individual chart patterns. I use statistics to help discover how they behave, and I share my findings with you.